EXECUTIVE SUMMARY

A. Introduction

Cabug was the former name of Enrile when it was one among the barrios of Tuguegarao. It was established as a separate town in September 1841 and was named in honor of Governor Pascual Enrile, who was the prime mover for the construction of roads in Northern Luzon. However, there was no enabling law or records available showing the creation of the municipality. This 3rd class Municipality produces rice, corn, tobacco, peanuts and sugar cane.

Financial, compliance and value for money audit were conducted on the accounts and operations of the Municipality for calendar year 2021. The audit objectives were to ascertain the propriety of the disbursements, reliability of the financial reports, adequacy of accounting records, compliance with laws, rules and regulations, as well as adherence to prescribed policies and procedures. Likewise, the audit was conducted to determine whether plans, programs, activities and projects for the year were attained in an efficient, economic and effective manner.

B. Operational Highlights

The following programs, projects and activities charged under the different sources of the fund of the Municipality of Enrile, Cagayan were completed in 2021:

Programs/Projects/Activities	Total Cost Incurred
Concreting of Abba Roads (Magalalag East)	₱9,985,000.00
Concreting of the Cemetery Road (Roma Sur)	9,848,758.65
Recovery and Reconstruction of the Economy and Livelihood in the LGU	6,025,749.00
Recovery and Reconstruction of the Economy and Livelihood in the LGU	1,310,000.00
Installation of LED Solar Lights (Maddarulug Norte to Roma Norte)	10,000,000.00
Construction of Freedom Park	7,808,127.52
Construction of Level II Water Supply System (Liwan Norte and Liwan Sur)	10,626,000.00
Special Risk Allowance	1,176,590.85
Establishment of Mushroom Industry	186,000.00
Completion of Motorpool Garage with GSO Office	2,989,012.34
Support to COVID-19 Related PPAs	800,000.00
Installation of LED Solar Street Lights (Villa Maria to Lanna)	6,645,153.24
Installation of LED Solar Lights - Additional (Roma Norte)	1,936,468.75

C. Financial Highlights

The financial condition and results of operations of the Municipality for CY 2021, with comparative figures for CY 2020, are as follows:

Accounts	2021	2020	Increase/(Decrease)
Assets	350,686,912.53	282,776,840.46	67,910,072.07
Liabilities	72,734,652.40	83,000,225.06	(10,265,572.66)
Government Equity	277,952,260.13	199,776,615.40	78,175,644.73
Income	180,960,936.28	162,679,759.00	18,281,177.28
Expense	147,465,006.24	135,673,514.48	11,791,491.76
Appropriation	175,272,978.00	166,494,329.00	8,778,649.00
Obligation	141,850,988.19	148,807,213.09	(6,956,224.90)

The funds received by the Municipality and transferred to other agencies and non-government and people's organizations for CY 2021, with comparative figures for CY 2020, are presented in the following table:

Funds Received from Other Agencies	2021	2020	Increase/(Decrease)
NGAs	48,753,852.67	40,485,025.95	8,268,826.72
LGUs	0.00	0.00	0.00
NGOs/Pos	0.00	0.00	0.00
GOCCs	0.00	0.00	0.00
Total	**48,753,852.67**	**40,485,025.95**	**8,268,826.72**

Funds Transferred to Other Agencies	2021	2020	Increase/(Decrease)
NGAs	356,365.00	457,429.00	(101,064.00)
LGUs	0.00	0.00	0.00
NGOs/POs	0.00	0.00	0.00
Others	0.00	0.00	0.00
Total	**356,365.00**	**457,429.00**	**(101,064.00)**

D. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of the presentation of the financial statements of the Municipality as of December 31, 2021 due to the effects of the noted deficiencies on the balances of some accounts, as summarized in the succeeding paragraph and as discussed in detail in Part II of the Report.

E. Summary of Significant Observations and Recommendations

1. **Stale checks amounting to P189,656.91 remained unadjusted in the LGU's books for almost three years which is contrary to Section 59 of the Manual on the New Government Accounting System (NGAS) for LGUs, thereby resulting in the understatement of the cash and the liability accounts by the same amount.**

   We recommended that Management instruct: (a) the Municipal Treasurer effect the cancellation of the stale checks amounting to P189,656.91 in accordance with Section 59 of the Manual on the NGAS for LGUs; and (b) the Municipal Accountant make proper adjustments to record stale checks in the amount of P174,491.90 which have been outstanding for less than two years as Accounts Payable, and to revert back to the unappropriated surplus the stale checks which have been outstanding for more than two years and no actual claim has been filed in the amount of P15,165.00 for fair presentation of accounts in the financial statements.

2. **The Office Equipment and Information and Communication Technology Equipment account balances in the total amount of P8,958,626.11 as shown in the Statement of Financial Position as of December 31, 2021 is unreliable due to the presence of unidentified balance/lump amount under the General Fund totaling P667,430.00, without corresponding schedules/details.**

   Likewise, the Municipal GSO prepared and submitted the Reports on the Physical Count of PPEs as of December 31, 2021 but not in conformity with the format required under Section 124 of the Manual on the New Government Accounting System (NGAS) for Local Government Units (LGUs), Volume I.

   We recommended that Management require the: (a) Municipal Accountant to exert effort to locate documents to support the details of the lumpsum amount of P667,430.00 included in the year-end balances of PPE as of December 31, 2021; and (b) Municipal GSO to prepare and submit the Inventory reports using the prescribed Reports on the Physical Count of PPEs pursuant to Section 124, Volume I of the Manual on the New Government Accounting System (NGAS).

3. **There are six (6) parcels of land with an area of 30,197 square meters that are still without titles or proofs of ownership by the Municipality, thereby exposing it to the risk that these properties may be subject to disputes or claims by other parties.**

Moreover, nine (9) lots with a total area of 36,476 square meters were not yet recorded in the Municipality's books, resulting in the understatement of the Land account presented in the financial statements as of December 31, 2021.

We recommended that Management: (a) exert efforts to locate all necessary documents and pursue the titling of the remaining six (6) parcels of land in the name of the Municipality; and (b) create an Inventory and Appraisal Committee to take charge in determining the value of the nine (9) lots with a total area of 36,476 square meters as basis in the recording thereof in the books of accounts of the Municipality.

4. **The accuracy and validity of the year-end balances of various receivables, payables and trust liabilities accounts under the General Fund, Special Education Fund and Trust Fund in the total amount of ₱15,384,550.18 could not be relied upon due to the absence of subsidiary ledgers and supporting schedules thereof, which is not in conformity with the provisions of the Government Accounting Manual for LGUs.**

   We recommended that Management require the Municipal Accountant to prioritize the establishment of subsidiary ledgers of various receivables, payables and trust liabilities in the amount of ₱15,384,550.18 pursuant to Section 70 of the New Government Accounting System (NGAS) for LGUs. Likewise, the Accountant shall request additional workforce to assist in the preparation of the subsidiary ledgers to facilitate the completion thereof.

5. **The implementation of the programs and projects totaling P21,728,713.04 funded under the 20% Development Fund, Trust Fund and Loan Proceeds of the Municipality for CY 2021 was delayed, thereby preventing the constituents from enjoying the benefits that they could have derived therefrom.**

   We recommended that Management fast track the implementation of the seven programs and projects funded under the 20% Development Fund, Trust Fund and loan proceeds for CY 2021 in the total amount of P21,728,713.04 to ensure that constituents are able to enjoy the benefits that they could derive from the programs and projects aimed at achieving socio-economic development and attaining desired Municipal objectives.

F. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions:					
Prior Years	12,494,613.19	0.00	0.00	12,494,613.19	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	**12,494,613.19**	**0.00**	**0.00**	**12,494,613.19**	**0.00%**

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Disallowances:					
Prior Years	12,321,981.04	0.00	0.00	12,321,981.04	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	**12,321,981.04**	**0.00**	**0.00**	**12,321,981.04**	**0.00%**
Charges:					
Prior Years	0.00	0.00	0.00	0.00	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	**0.00**	**0.00**	**0.00**	**0.00**	**0.00%**

The 160 Notices of Disallowance issued in CY 2020 totaling P9,065,242.01 are currently under appeal with the Commission on Audit.

G. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in the 2020 Annual Audit Report are summarized as follows:

Implemented		42
Not implemented	11	
Not implemented and reiterated in CY 2021 AAR	11	22
Total		**64**